Ravenholt Industries - Procurement Policy (fictional)

Payment terms by vendor risk

Vendors with a credit score of 75 or higher are low risk and receive standard Net-45 payment terms. This applies to servo motor suppliers, PLC suppliers and other strategic component suppliers. Vendors scoring 50 to 74 are moderate risk and require a 25 to 50 percent deposit or a confirmed letter of credit. Vendors scoring below 50 are high risk and require full prepayment plus a bank guarantee, or must be rejected.

Sanctions screening

Every new vendor must be screened against EU, US OFAC, UN and German export-control lists before a purchase order is released. A sanctions match means immediate rejection.

Approval thresholds

Purchases above EUR 250,000 need Department Head sign-off. Purchases above EUR 1,000,000 need CFO and Management Board approval.